

Multiple Choice (10 marks)

1. When the capital/output ratio for the annual output is 2, what is it for quarterly output?
 - (a) 10
 - (b) 5
 - (c) 0.5
 - (d) 3
 - (e) 2
2. State one important reason why Smith's principle of the "invisible hand" does not assure the "perfect functioning," without government intervention, of the U.S. economy today.
 - (a) Smith's principle is outdated
 - (b) Smith's principle relies on the assumption of unlimited natural resources
 - (c) Government intervention is always necessary
 - (d) The "invisible hand" is countered by the presence of monopolies and oligopolies
 - (e) Perfect competition is required for Smith's principle to be completely effective
3. Suppose that the interest rate has risen from 8% to 10% over a three year period while inflation has risen from 3% to 5%. What has happened to the real interest rate?
 - (a) Real interest rate decreases by 2%
 - (b) Real interest rate more than doubles
 - (c) Real interest rate decreases
 - (d) Real interest rate increases
 - (e) Real interest rate is halved
4. Which of the following situations best exemplifies the concept of consumer surplus?
 - (a) A consumer gets a pizza for free.
 - (b) The federal government has taken in more revenue than it has paid out in expenditures.
 - (c) The total amount a consumer is willing to pay for a pizza is less than the market price.
 - (d) A consumer pays less for a pizza than the cost of its production.
 - (e) It refers to a consumer who no longer has any outstanding debts.
5. One drawback of using fiscal policy to close a recessionary gap is that

- (a) unemployment will rise.
- (b) taxes will have to be raised.
- (c) the equilibrium price level will rise.
- (d) government spending on important programs will have to be cut.

True / False (10 marks)

Answer True or False

- 6. True or False: The present value of a security with a maturity value of 100,000 and a yield of 9% is less than 100,000.
- 6. True or False: An expansionary monetary policy by the Fed can lead to a decrease in net exports due to a stronger domestic currency.
- 7. True or False: When Bank A grants a loan of 500 after receiving a 1000 deposit, the money supply increases by \$500.
- 8. True or False: A 2-sided alternative test typically fails to provide sufficient evidence to reject the null hypothesis.
- 9. True or False: In monopolistic competition, firms face high barriers to entry, leading to limited competition and product similarity.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the conditions under which marginal cost equals average variable cost and average total cost, emphasizing the significance of their intersection points in production analysis.
- 12. Discuss how the purchase of a used car, such as a 1957 Chevy from a friend, impacts GDP and analyze why certain transactions do not contribute to GDP calculations.

End of Paper